

ECON 498/698: Paper Review and Presentation

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Due date: in-class, November 28th, 2018

The paper review is a brief summary and a critical assessment of a published paper in International Macroeconomics. The review should not be longer than ten pages and ideally will be between six and eight pages (excluding graphs and tables). Students must choose, from the list provided at the end of this document, one paper to discuss. The assignment of papers will be on a first-come-first-serve basis. Some of the papers in the list are highly technical and, therefore, I do not require students to work through the entire theoretical model or empirical strategy in detail. On the contrary, rather than a detailed discussion of the methodology, paper reviews are meant to provide a general idea of the goal and context of the paper. A useful, but not required, template for the report is as follows:

1. In the first few paragraphs of the review, you should be able to answer the following questions: What is the main question posed in the paper? What is/are the authors' approach to answering the main question? What is its central contribution to the literature? What is/are the main conclusion/s of the paper?
2. Next, you should be able to answer the following: What is the context of the paper? Why do the authors claim the paper is relevant? How does the related literature approach the same question? What are the advantages and/or disadvantages of its approach over the approach of other papers in the same literature?
3. The last part should be reserved for a discussion of your personal opinion about the paper: Do you find the paper interesting? Do you have any concerns about the paper? Would you have approached the central question similarly? Is there anything that you particularly like or dislike about their analysis? At the end of this part, you could also point out minor issues that could be improved (e.g. further discussion of certain results, authors trying to overstate the main results of the paper, etc.)

Paper reviews are due in the last class of the term (Wednesday, November 28th). On the same day, each student will have the opportunity to present her/his review to the entire class. Presentations

should be between 12 and 15 minutes, including questions, and should follow the same organization as paper reviews. The written report counts for 12%, while the presentation counts for 8% of the final grade for this course.

If you have further questions, please let me know. The list of papers is as follows:

1. Engel, C. (1999), "Accounting for U.S. real exchange rate changes." *Journal of Political Economy*, 107, 507-538.
2. Burstein, A., M. Eichenbaum, and S. Rebelo (2004), "Large Devaluations and the Real Exchange Rate," *Journal of Political Economy*, 113, 742-784.
3. Feldstein, M. and C. Horioka (1980), "Domestic Saving and International Capital Flows", *Economic Journal*, 90 (358): 314-329.
4. Gourinchas, P.-O. and O. Jeanne (2013), "Capital Flows to Developing Countries: The Allocation Puzzle," *Review of Economic Studies*, 80 (4), 1484-1515.
5. Alfaro, L., S. K.O., and V. Volosovych (2008), "Why Doesn't Capital Flow from Rich to Poor Countries? An Empirical Investigation" *The Review of Economics and Statistics*, 90, 347-368.
6. Rodrik, D. (2008), "The Real Exchange Rate and Economic Growth," *Brookings Papers on Economic Activity*, 2, 365-**398 (only)**.

The first two papers discuss the role of non-tradables in accounting for international price differences. Papers 3 and 4 study whether there is an optimal allocation of capital in international financial markets (i.e. whether capital flows to where it has the highest return). Paper 5 investigates the reasons capital does not flow to developing countries with high growth prospects. The last paper discusses whether undervalued real exchange rates result in economic growth in developing economies.